

The screen you'll live on
Strikes • expiries
Bid/ask • OI • IV
Spotting liquidity

One page

Read after
No. 01 – No. 04

Reading the chain.

Everything in this series — strike, premium, moneyness, the Greeks, volatility — shows up in one place on a trading platform: the **option chain**. At first it's a wall of numbers. It's really just a menu, and once you know the columns you can read any broker's version. Here's the whole thing, decoded.

01 /
THE
LAYOUT

Calls on one side, puts on the other, strikes down the middle.

You first pick an **expiration date**. The chain then lists every **strike** for that date down the centre, with **calls** on the left and **puts** on the right — a mirror either side of the strike column. Shaded cells are in the money. This is a realistic 30-day chain for a stock trading at **\$100**.

CALLS • THE RIGHT TO BUY						EXPIRY: 30 DAYS • STOCK \$100							PUTS • THE RIGHT TO SELL ▶			
Δ	IV	VOL	OI	BID	ASK	STRIKE	BID	ASK	OI	VOL	IV	Δ				
.82	26%	120	3.4k	11.10	11.35	90	0.60	0.68	4.8k	260	27%	-.18				
.68	24%	340	5.1k	6.95	7.10	95	1.45	1.55	6.0k	510	25%	-.32				
.52	23%	1.2k	8.7k	3.30	3.45	100	3.25	3.40	7.9k	1.1k	23%	-.48				
.34	24%	890	6.2k	1.35	1.45	105	6.30	6.50	3.9k	300	24%	-.66				
.19	26%	420	4.0k	0.55	0.62	110	10.70	10.95	2.1k	90	26%	-.81				

call in the money put in the money at the money

02 /
THE
COLUMNS

What every column is telling you.

Brokers vary the order and let you add or hide columns, but these are the ones that matter. Read them in two groups: **price** (what you'll pay or receive) and **health** (whether the option is safe to trade at all).

PRICE COLUMNS		HEALTH & RISK COLUMNS	
BID	Highest price a buyer will pay — what you'd receive if selling now.	VOLUME	Today's contracts traded. Activity right now.
ASK	Lowest price a seller will accept — what you'd pay to buy now.	OPEN INT. (OI)	Contracts currently open . Depth of the market.
MID	Midpoint of bid & ask — a fair-value estimate, often where you aim.	IV	Implied volatility — how pricey the option is (No. 03).
LAST	Price of the most recent actual trade. Can be stale.	DELTA	Exposure + rough ITM odds (No. 04). Great for picking a strike.
CHANGE	Move since the prior close. Context, not decision.	θ / V	Theta & vega, if shown — your decay and volatility risk.

First glance.

Before anything else, a beginner should look at **two** columns: the **bid-ask spread** (is it tight?) and **open interest** (is it healthy?). Those tell you whether the option is even worth trading before you ever think about the price. The next page is all about them.

03 /
THE
SPREAD

Bid, ask & the spread — *the hidden toll.*

You buy at the **ask** and sell at the **bid**. The gap between them is the **spread** — a cost you pay just to get in and out, before the trade even moves. Wide spreads quietly tax every round trip; tight spreads are the mark of a liquid, tradeable option.

A TIGHT SPREAD VS A WIDE ONE — SAME \$3.30 OPTION



USE LIMIT ORDERS

Never buy "at market" on options. Set a **limit** near the mid and let the market come to you — market orders on wide spreads get filled at ugly prices.

MIND SLIPPAGE

The difference between the mid you hoped for and the price you actually got. Wide spreads = more slippage on both entry and exit.

A QUICK FILTER

If the spread is more than a few percent of the option's price, or the ask is far above the bid, **walk away** — there's usually a tighter strike or a more liquid stock.

04 /
VOL &
OI

Volume vs open interest.

Two liquidity gauges that people mix up. Together they tell you how easy it'll be to get in and — more importantly — back out.

VOLUME

Contracts traded today. A fresh pulse of activity — it resets to zero each morning. High volume means people are trading this strike right now.

OPEN INTEREST

Contracts currently held open. The standing pool of positions. High OI means a deep, established market you can exit into later.

Rule of thumb: favour strikes with healthy OI (think hundreds-to-thousands, not single digits) *and* real daily volume. Thin options can be easy to enter and a nightmare to escape.

05 /
MONEY-
NESS

Moneyness, at a glance.

The shading pattern on the chain isn't decoration — it's telling you moneyness. On the call side, strikes *below* the stock are in the money; on the put side, strikes *above* it are. They cross at the at-the-money row. Delta is the cleaner readout: the closer to the money, the closer delta is to 0.50.

IN THE MONEY · HIGH DELTA

Has intrinsic value, moves closely with the stock, costs more. Delta well above 0.50. Behaves the most stock-like.

AT THE MONEY · ~0.50 DELTA

All time value, maximum gamma and theta. The most "leveraged to a move" — and the most exposed to decay.

OUT OF THE MONEY · LOW DELTA

No intrinsic value, cheap, low odds. Tempting because it's cheap — but it's mostly a bet against decay and time.

06 /
EXPIRY

Choosing the expiration.

The date you pick first sets how much time — and time value — is in play. Most chains offer weekly and monthly expirations; the countdown is shown as **DTE** (days to expiry).

VERY SHORT (0–7 DTE)

Cheap and twitchy — maximum decay and gamma. Popular with gamblers, unforgiving for learners. The series' advice: **avoid as a beginner**.

30–45+ DTE

Enough time to be right without decay racing you, and typically the most liquid monthly strikes. A sensible default window for starter trades.

Match the expiry to your thesis: if you think a move plays out over a month, don't buy a week of time and force yourself to be right in days.

07 /
WORKED
READ

A worked read — building a safe debit spread.

Let's turn the page-1 chain into an actual defined-risk trade from No. 02. Say you're mildly bullish on this \$100 stock over the next month. Here's the read, step by step.

1 · EXPIRY	Pick the ~30-day date — enough time, and the most liquid strikes.
2 · BUY LEG	Buy the \$100 call at the ask, 3.45 . Delta ~0.52 — a balanced directional bet.
3 · SELL LEG	Sell the \$105 call at the bid, 1.35 . This caps upside but cuts your cost.
4 · NET COST	$3.45 - 1.35 = \mathbf{2.10 \text{ debit} \rightarrow \$210}$ per spread. That's your max loss, fixed.
5 · MAX GAIN	Strike width \$5 – \$2.10 = \$2.90 → \$290 , if the stock closes at/above \$105.
6 · HEALTH CHECK	Both strikes show tight spreads and OI in the thousands — liquid enough to enter and exit.

Before clicking, run it past the No. 02 checklist: max loss known (\$210), affordable and ≤1-2% of the account, defined-risk, liquid, with an exit plan. Numbers are illustrative — but the *reading process* is exactly this every time.

08 /
TERMS

Words you'll meet.

Option chain

The full grid of calls and puts across strikes and expirations for one underlying.

Bid / ask

Sell price / buy price at this moment. You transact against these, not "last".

Spread

Ask minus bid — the built-in cost of a round trip. Tight = liquid.

Mid

The midpoint of bid and ask; a fair-value target for limit orders.

Volume

Contracts traded today at that strike. Resets each session.

Open interest

Contracts currently open — the depth and staying-power of the market.

Slippage

The gap between your intended price and the fill you actually get.

Limit order

An order capped at a price you set. The default, and only, way to trade options carefully.

DTE

Days to expiration — the countdown shown against each expiry date.

Series close.

That's the set: **No. 01** what an option is · **No. 02** how to trade it safely · **No. 03** what moves its price · **No. 04** the Greeks · **No. 05** reading the chain. Together they're a careful beginner's map — **educational, not advice**. Practise on paper before risking a cent.